

Ticker: AMZN (NASDAQ) | Sector: Consumer Discretionary / Technology / Cloud

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Financial Metric (\$ Millions)	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Total Net Sales	\$574,785	\$637,959	\$716,924	\$823,000	\$910,000	\$998,462	\$1,087,036	\$1,174,228
Revenue Growth (%)	11.8%	11.0%	12.4%	14.8%	10.6%	9.7%	8.9%	8.0%
Operating Income (EBIT)	\$36,852	\$68,593	\$79,975	\$101,229	\$121,030	\$141,782	\$164,142	\$187,877
CapEx (% of Revenue)	14.8%	18.2%	19.5%	26.5%	33.8%	31.8%	25.8%	21.7%

Investment Thesis

Market Overestimation Relative to Intrinsic Cash Flows: While market sentiment remains strong on AI advancement and AWS margin acceleration, our 3 statement Discounted Cash Flow Model (DCF) indicates that at a current share price of \$244.85, AMZN is trading at a premium of -27% to its base line intrinsic share price valuation of \$177.71 given an assumed WACC of 8.5% and TGR of 2.50%.

CapEx Drag vs Free Cash Flow: AWS fulfillment networks and vast AI expansionary means has produced a drastic drag on CapEX expenditures driving up values significantly. Unless operating and expansion margins can be reduced with an elevation in reinvestment rates, near term Free Cash Flow Conversion will be forced to remain constricted. CapEx costs are estimated to be over 34% of revenue costs despite revenue growth being at a 14.8% increase with AWS margin acceleration and an increase in AI infrastructural expansion.

Margin Trajectory as a Primary Driver: Our model demonstrates that valuation sensitivity is heavily skewed toward the expansion of EBIT margin expansion scaling from roughly 11.2% to upwards of ~16% by 2030 presuming a Base Case scenario. Revenue growth is shown to increase with the implementation of newer AI infrastructures and AWS margin expansion to a rate of ~14.8%, but then gradually decline to ~8% by 2030.

Scenario Assessment Modeling

Optimistic vs Conservative Assessment Modeling: Through an assessment of the optimistic case, with a WACC of 8.0% and Terminal Growth Rate of 3.5%, it can be seen a valuation assumption of Amazon (AMZN) to be priced at an implied upside of 19% at a share price of \$292.40. This valuation underscores an efficient and cost effective implementation of AI based infrastructural management systems alongside AWS environmental expansion to both work to increase revenue and reduce Capital Expenditures in order to substantially grow the company's implied valuation. On the other hand an assessment of the conservative lens with a WACC of 10.5% and a Terminal Growth Rate of 2.0%, there can be up to an implied downside of -61% with a share price of \$94.29 resulting in an inefficient AWS environmental expansion and vast Capital Expenditures and Tax Rates as a result of AI infrastructural developments.

Key Catalysts and Risks to the Thesis

Downside Risks to Valuation: The risks to our presumed valuation come in the form of the continued hyper-scalar investment into custom silicon and data centers that could significantly halt Free Cash Flow conversion over the 2026-2030 horizon through vast CapEx Escalation. The EBIT margins could synonymously be halted through increased competition in AWS from Azure and Google Cloud that could slow margins below the 16% target.

Upside Catalysts to Push Valuation: AWS re-acceleration and faster than anticipated monetization of the new enterprise generated AI services could work to push revenue growth in 2026 and 2027 upwards of the 14.6% and 10.8% respect growth rate margins. Synonymously, robotics integration through the advancement of ecosystem infrastructure management in retail logistics can work to expand international margins ahead of margin further pushing up revenue rates for the company and potentially promising a ~19% share price upside.

Methodology and Disclosures

Note on Model Architectures: This 3-statement model was constructed utilizing audited 10-k filing reports from 2021-2025 and used to predict a 5 year Free Cash Flow Model Valuation for Amazon (AMZN). Unlevered Free Cash Flows are discounted using a WACC of 8.50%

reflecting a weighted average equity cost and post-tax cost of debt. Terminal Value is calculated using the Perpetuity Growth Model with a Terminal Growth Rate Value of 2.50%.

Catalyst Mispricing & Post-Earnings Volatility (PEAD)

Earnings Impact on AMZN Share Prices: While the DCF model establishes Amazon's intrinsic share price value at \$177.71, market prices frequently disconnect from perceived values during quarterly earnings announcements. We constructed an empirical study demonstrating this presented post earnings announcement drift and printing Implied Volatility zones to assess zones of market mispricing windows for Fortune 500 companies. The fundamental valuation bias can come into use in these times of implied volatility by providing an effective directional bias during spikes revolving earnings announcements with the help of the estimated volatility drift as found in my empirical study.

Quantitative Execution Framework

Trading Algorithm for Assessing Short Term Market Imbalances: To monetize tactical discrepancies between short-term market momentum and fundamental intrinsic value analysis during high-volatility trading windows, we employed an automatic self-created trading algorithm. This system evaluated Order Flow Imbalances, Delta Divergences, Market Rebalancing Zones and Order Execution Volume on Nasdaq-100 (NQ) futures markets to enter tactical hedges and short/long allocations around earning blocks and major market catalysts. Each execution is mitigated with thorough risk management protocols and strict drawdown and dynamic positions sizing algorithms to effective hedge losses.